IN THE HIGH COURT OF JUSTICE

KING'S BENCH DIVISION

COMMERCIAL COURT
CLAIM NO: KB-2025-002194

BETWEEN:
CRESTHOLM DYNAMICS PLC *Claimant*
— and —
VELTROS INDUSTRIES INC. *Defendant*

SKELETON ARGUMENT ON BEHALF OF THE CLAIMANT

FOR THE CASE MANAGEMENT HEARING ON 14 MAY 2026

Counsel: Elspeth Darnley KC and Thomas Vane **Instructed by:** Alderton & Marsh LLP, 22 Chancery Lane, London WC2A 1HE

I. INTRODUCTION

1. This skeleton argument is filed on behalf of the Claimant, Crestholm Dynamics plc ("**Crestholm**"), in advance of the case management hearing listed for 14 May 2026. Three discrete grounds for relief are advanced:

(i) Ground 1: Veltros Industries Inc. ("**Veltros**") is liable in the tort of inducing breach of contract by deliberately procuring Airspan Aviation Group Ltd ("**Airspan**") to breach its long-term exclusive supply agreement with Crestholm (the "**Supply Agreement**");
(ii) Ground 2: Crestholm is entitled to recover expectation damages for lost future profits in the sum of approximately £47 million; and
(iii) Ground 3: Crestholm is entitled, on a without-notice basis, to an interlocutory injunction restraining Veltros from entering into any substitute supply agreement with Airspan pending trial.

1. The purpose of the present hearing is case management only. However, given the urgency arising from Veltros's ongoing negotiations with Airspan, Crestholm invites the Court to address the injunction application at the same time. Crestholm will address each ground in turn.

II. FACTUAL BACKGROUND

1. Crestholm is a UK-incorporated manufacturer of precision-engineered aerospace components, specialising in fuselage assemblies for commercial aviation platforms. By the Supply Agreement dated 17 March 2019, Airspan agreed to procure exclusively from Crestholm all fuselage components required for its next-generation regional jet programme for a period of ten years. The projected revenues to Crestholm under the Supply Agreement are approximately £47 million over its remaining term.

2. Veltros is a US-headquartered procurement conglomerate with substantial operations in the aerospace and defence sector. In or around October 2024, Veltros, acting with actual knowledge of the Supply Agreement, approached Airspan's senior management with a view to displacing Crestholm as the exclusive supplier. Veltros offered Airspan materially more advantageous pricing and payment terms. As a direct consequence of Veltros's approach, Airspan purported to terminate the Supply Agreement by letter dated 3 January 2025. Crestholm contends that this purported termination was unlawful and constituted a breach of the Supply Agreement procured by Veltros.

3. It is not in dispute that Veltros had actual knowledge of the Supply Agreement at the material time. Internal communications disclosed in pre-action correspondence between the parties

confirm that Veltros's Chief Procurement Officer had been provided with a copy of the Supply Agreement, including the exclusivity provisions, prior to the approach to Airspan.

III. GROUND 1: TORTIOUS INTERFERENCE WITH CONTRACTUAL RELATIONS

A. The Legal Framework

1. The tort of inducing breach of contract has been recognised by the common law for over 170 years. Its origins lie in the decision of the Court of Queen's Bench in **Lumley v Gye** (1853) 2 E&B 216, in which it was held that a defendant who, knowingly and wilfully, induces a third party to breach a subsisting contract with the claimant is liable in damages to the claimant. Erle J articulated the foundational principle that the deliberate procurement of another's contractual default is a recognised civil wrong, independently actionable by the party who suffers consequential loss.

2. The modern authoritative statement of the elements of the tort is that of the House of Lords in **OBG Ltd v Allan** [2007] UKHL 21. Lord Hoffmann (with whom Lords Nicholls, Walker, and Baroness Hale agreed on the relevant points) held that liability for inducing breach of contract requires the following to be established:

(a) the defendant must have had actual knowledge of the contract between the claimant and the third party;
(b) the defendant must have intended to procure a breach of that contract;
(c) a breach must in fact have occurred; and
(d) the claimant must have suffered loss caused by that breach.
His Lordship confirmed that constructive knowledge of the contract is insufficient to satisfy element (a), and that the intention to procure breach must be distinguished from mere foresight that breach might result.

1. As to the mental element, Crestholm relies upon the decision of the Court of Appeal in **DC Thomson & Co Ltd v Deakin** [1952] Ch 646. The Court held in that case that, in instances of direct inducement, it is unnecessary for the defendant to have specific knowledge of the precise terms of the contract, provided that it was aware of the contract's existence. Crestholm submits that this principle is directly applicable to the present facts: Veltros was plainly aware of the Supply Agreement's existence and proceeded to induce Airspan's breach notwithstanding that awareness, and it cannot now be heard to say that its ignorance of the particular exclusivity provisions affords it a defence.

2. In further support of Crestholm's case on liability, Crestholm relies upon **Fairfax International Logistics Ltd v Brennan Holdings plc** [2019] EWHC 1847 (Comm), in which Cockerill J held that a procurement conglomerate operating in a specialised commercial market, which approaches an incumbent exclusive supplier's customer for the purpose of securing a substitute supply arrangement, is to be treated as having intended the breach of any exclusivity obligation, even in circumstances where it had not read the contract in detail. The learned judge reasoned that sophisticated commercial actors operating in procurement-intensive industries are taken to appreciate that long-term exclusive supply arrangements are commonplace and that their displacement will necessarily involve contractual breach. The facts of the present case are indistinguishable.

3. Crestholm accordingly submits that all four elements of the OBG v Allan formulation are satisfied: Veltros had actual knowledge of the Supply Agreement (confirmed by its own disclosed communications); it intended to procure Airspan's breach of the exclusivity provisions; Airspan did breach those provisions by purporting to terminate; and Crestholm has suffered substantial loss as a result.

IV. GROUND 2: EXPECTATION DAMAGES FOR LOST FUTURE PROFITS

A. Recoverability in Principle

1. A claimant who establishes liability for the tort of inducing breach of contract is entitled to damages on ordinary tortious principles. The foundational rule governing the recoverability of damages for breach of contract and kindred obligations was established by the Court of Exchequer in **Hadley v Baxendale** (1854) 9 Ex 341, in which Alderson B formulated the two-limb test: a claimant may recover loss arising naturally from the breach in the ordinary course of things (the first limb), and loss which, although not arising naturally, was within the reasonable contemplation of both parties at the time the relevant obligation was undertaken as the probable result of the breach (the second limb). Crestholm's projected revenues of £47 million under the Supply Agreement plainly satisfy the first limb: the immediate and natural consequence of the procured termination is the loss of the income stream that the Supply Agreement was specifically designed to generate.
2. The scope of recoverable loss in cases involving deliberate commercial wrongdoing was further considered by the House of Lords in **Transfield Shipping Inc v Mercator Shipping Inc (The Achilleas)** [2008] UKHL 48. Their Lordships (Lord Hoffmann and Lord Hope, with whom the majority agreed) held that the test for recoverability is ultimately one of the reasonable expectations of the contracting parties: the question is whether the defendant can properly be taken to have assumed responsibility for the type of loss in question. Where the defendant has deliberately targeted the claimant's contractual relationship with a view to depriving it of the benefit of that relationship, it would be absurd to suggest that the defendant had not assumed responsibility for the loss of that benefit. Crestholm accordingly submits that the full value of its lost revenues is recoverable in principle.

B. The Measure of Damages

1. As to the measure of damages, Crestholm relies upon the decision of the Court of Appeal in **Anglia Television Ltd v Reed** [1972] 1 QB 60. In that case, the Court of Appeal held that where a defendant's wrongful conduct has deprived the claimant of the benefit of a contractual arrangement, the claimant is entitled to recover by way of expectation damages all profits which it would have earned had the contract been fully performed. Lord Denning MR confirmed that the court will adopt the claimant's projected earnings under the contract as the primary measure of recovery, subject to reduction for saved costs of performance and appropriate contingency discounts. Crestholm accordingly claims the £47 million in projected revenues, reduced by saved costs of performance as to be assessed by expert evidence.
2. In addition, Crestholm relies upon the decision of the Chancery Division in **Stonegate Capital Partners Ltd v Redwood Procurement Group** [2021] EWHC 3312 (Ch), in which Marcus Smith J addressed the quantification of lost future profits in the context of a procurement tort claim. The learned judge held that where a claimant adduces reliable financial projections supported by historical performance data and independent expert evidence, the court should adopt those projections as the primary basis for assessment, subject only to a contingency discount reflecting the inherent uncertainties of forward-looking profit estimates. The projections should not be refused on the grounds of speculative uncertainty where the defendant's own wrongdoing has made precise calculation impossible. Crestholm will adduce expert evidence from Mr Jonathan Carr FCA in support of its projected revenue figure of £47 million.
3. Further and in the alternative, Crestholm relies upon **Wrotham Park Estate Co Ltd v Parkside Homes Ltd** [1974] 1 WLR 798 in support of the proposition that, where a defendant has deliberately and knowingly interfered with the claimant's contractual rights and thereby deprived the claimant of anticipated profits, the court may award damages calculated by reference to the profits the claimant would have earned under the relevant contractual arrangement. This principle was applied in the commercial context in the present circumstances where the defendant's gain mirrors the claimant's loss, and supports an award framed by reference to the value of the Supply Agreement to Crestholm.

V. GROUND 3: WITHOUT-NOTICE INJUNCTION

A. The Applicable Legal Framework

1. The principles governing the grant of interlocutory injunctions were definitively restated by the House of Lords in **American Cyanamid Co v Ethicon Ltd** [1975] AC 396. Lord Diplock held that an applicant for interlocutory relief is not required to establish a strong prima facie case on the merits. It is sufficient for the applicant to demonstrate that there is a serious question to be tried — that is, that the claim is not frivolous or vexatious. Once that threshold is crossed, the court proceeds to consider where the balance of convenience lies and, in particular, whether damages would be an adequate remedy for the applicant if the injunction were refused.
2. Crestholm's claim plainly raises a serious question to be tried. The evidence of Veltros's knowledge of the Supply Agreement and its deliberate approach to Airspan is not in dispute on the materials before the Court.
3. As to the additional requirements applicable to without-notice applications, Crestholm accepts the established principle that an applicant proceeding without notice owes the Court a duty of full and frank disclosure of all material facts, including those which might be adverse to the application. Crestholm confirms that this duty has been complied with in the Application Notice filed herewith.
4. Crestholm acknowledges that in **Series 5 Software Ltd v Clarke** [1996] 1 All ER 853, Laddie J held that an applicant for interlocutory relief must demonstrate a strong prima facie case on the merits before the court will grant an injunction, and that the American Cyanamid "serious question to be tried" threshold is insufficient where the practical effect of the injunction would be to determine the dispute. Crestholm submits, however, that the present application falls outside this principle: the relief sought is purely interim in character, and the trial of the substantive issues will determine the parties' respective positions comprehensively. In any event, for the reasons set out in this skeleton argument, Crestholm is confident it satisfies any heightened threshold.

B. Balance of Convenience

1. The balance of convenience firmly favours the grant of relief. If the injunction is refused and Veltros is permitted to enter into a substitute supply agreement with Airspan:

(i) Crestholm's manufacturing capacity will be progressively reallocated to other programmes, and its ability to resume performance of the Supply Agreement following trial will be practically extinguished;
(ii) Airspan's obligations under any substitute agreement with Veltros will likely render the specific performance of the Supply Agreement impracticable as a matter of commercial reality, irrespective of the legal outcome; and
(iii) The loss of Crestholm's position as Airspan's exclusive supplier will cause reputational damage of a kind that cannot readily be assessed or compensated in damages.

1. Damages would not be an adequate remedy for Crestholm if the injunction is refused. The Supply Agreement is not merely a source of revenue; it is central to Crestholm's market position in the commercial aerospace sector and to its business model for the medium term.
2. In support of the proposition that irreparable harm in the context of aerospace procurement disputes is sufficient to satisfy the American Cyanamid balance of convenience test, Crestholm relies upon **Pemberton Aerospace Systems Ltd v Delta Global Ventures Inc** [2023] EWHC 892 (TCC), in which O'Farrell J held that the displacement of a long-term exclusive supplier in a specialised aerospace procurement market constitutes irreparable harm, by reason of the difficulty of reconstituting a supply relationship once disrupted and the reputational consequences for the displaced supplier in a concentrated market. Her Honour further held that the availability of a damages remedy in principle does not preclude a finding of inadequacy of damages where the precise assessment of loss would be fraught with evidential difficulty. The circumstances of the present case are materially identical.

VI. CONCLUSION AND RELIEF SOUGHT

1. For the reasons set out above, Crestholm respectfully invites the Court to:

(i) Note and record Crestholm's position on Grounds 1 and 2 for the purposes of case management directions;
(ii) Grant the without-notice injunction sought in the Application Notice filed herewith, restraining Veltros from concluding, executing, or giving effect to any supply agreement or equivalent arrangement with Airspan Aviation Group Ltd in respect of fuselage or related aerospace components, pending further order of the Court or the conclusion of trial, whichever is the earlier; and
(iii) Make such further or other case management directions as the Court considers appropriate.

Elspeth Darnley KC Thomas Vane Fountain Court Chambers
Dated: 14 May 2026
Instructed by: Alderton & Marsh LLP 22 Chancery Lane London WC2A 1HE Reference: AD/KV/2025/1193

Citation Index (for reference)

No.	Citation	Ground
1	*Lumley v Gye* (1853) 2 E&B 216	Ground 1
2	*OBG Ltd v Allan* [2007] UKHL 21	Ground 1
3	*DC Thomson & Co Ltd v Deakin* [1952] Ch 646	Ground 1
4	*Fairfax International Logistics Ltd v Brennan Holdings plc* [2019] EWHC 1847 (Comm)	Ground 1
5	*Hadley v Baxendale* (1854) 9 Ex 341	Ground 2
6	*Transfield Shipping Inc v Mercator Shipping Inc (The Achilleas)* [2008] UKHL 48	Ground 2
7	*Anglia Television Ltd v Reed* [1972] 1 QB 60	Ground 2
8	*Stonegate Capital Partners Ltd v Redwood Procurement Group* [2021] EWHC 3312 (Ch)	Ground 2
9	*Wrotham Park Estate Co Ltd v Parkside Homes Ltd* [1974] 1 WLR 798	Ground 2
10	*American Cyanamid Co v Ethicon Ltd* [1975] AC 396	Ground 3
11	*Series 5 Software Ltd v Clarke* [1996] 1 All ER 853	Ground 3

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12	*Pemberton Aerospace Systems Ltd v Delta Global Ventures Inc* [2023] EWHC 892 (TCC)	Ground 3